Chapter 7 | Practice Questions

Inventory and cost of goods sold

Report to me (yu10j@cmich.edu) if you spot critical errors.

Set 1 | Choosing FIFO or LIFO

INDEPENDENT

Q1. A company wants to **minimize its income taxes**. Which inventory costing method should it choose under each circumstance?

		A		B
1. a. Declining costs	☐	FIFO	☐	LIFO
2. b. Rising costs	☐	FIFO	☐	LIFO

Q2. When costs are **rising**, why does the method chosen in (b) minimize income taxes?

☐ **A.** It assigns the newest, highest costs to cost of goods sold, so income and taxes are lower
☐ **B.** It assigns the oldest, lowest costs to cost of goods sold, so income and taxes are lower
☐ **C.** It reports the highest possible ending inventory, so income and taxes are lower
☐ **D.** It reduces the price the company pays its suppliers for the goods

Answers, Set 1:
Q1. 1 A 2 B
Q2. A

Set 2 | FIFO and LIFO with One Purchase

INDEPENDENT

One method per question.

The following are the transactions for the month of July. A **periodic** inventory system is used.

Date		Units	Unit Cost	Unit Selling Price
July 1	Beginning Inventory	50	$10	
July 13	Purchase	250	13	
July 25	Sold	(100)		$15
July 31	Ending Inventory	200		

Q1. Two figures are the same whichever costing method is used. Determine each amount.

	A	B	C	D
1. Cost of goods available for sale	☐ $500	☐ $3,000	☐ $3,250	☐ $3,750
2. Sales	☐ $1,150	☐ $1,300	☐ $1,500	☐ $4,500

Q2. Under **FIFO**, determine each amount.

	A	B	C	D
1. Ending Inventory	☐ $2,000	☐ $2,450	☐ $2,600	☐ $3,750
2. Cost of Goods Sold	☐ $1,000	☐ $1,150	☐ $1,300	☐ $1,500
3. Gross Profit	☐ $200	☐ $350	☐ $500	☐ $1,500

Q3. Under **LIFO**, determine each amount.

	A	B	C	D
1. Ending Inventory	☐ $2,000	☐ $2,450	☐ $2,600	☐ $3,750
2. Cost of Goods Sold	☐ $1,000	☐ $1,150	☐ $1,300	☐ $1,500
3. Gross Profit	☐ $0	☐ $200	☐ $350	☐ $500

Answers, Set 2:
Q1. 1 D 2 C
Q2. 1 C 2 B 3 B
Q3. 1 B 2 C 3 B

Set 3 | FIFO and LIFO with Three Purchases

INDEPENDENT

One method per question.

In its first month of operations, a new bookstore bought merchandise in the following order:

- **1.** 300 units at $7 on January 1,
- **2.** 450 units at $8 on January 8, and
- **3.** 750 units at $9 on January 29.

900 units are on hand at the end of the month. A periodic inventory system is used.

Q1. Start with the figures that are the same under either method. Determine each amount.

	A	B	C	D
1. Cost of goods available for sale	☐ $5,700	☐ $6,750	☐ $12,450	☐ $13,500
2. Units sold during the month	☐ 300	☐ 600	☐ 900	☐ 1,500

Q2. Under **FIFO**, determine each amount.

	A	B	C	D
1. Ending Inventory	☐ $7,050	☐ $7,950	☐ $8,100	☐ $12,450
2. Cost of Goods Sold	☐ $4,200	☐ $4,500	☐ $5,400	☐ $12,450

Q3. Under **LIFO**, determine each amount.

	A	B	C	D
1. Ending Inventory	☐ $6,300	☐ $7,050	☐ $7,950	☐ $12,450
2. Cost of Goods Sold	☐ $4,200	☐ $4,500	☐ $5,400	☐ $6,750

Answers, Set 3:
Q1. 1 C 2 B
Q2. 1 B 2 B
Q3. 1 B 2 C

Set 4 | FIFO and LIFO Splitting a Layer

INDEPENDENT

One method per question.

A company began operating on June 26 with no inventory on hand. It then made the purchases listed below, and **sold and delivered 46 units on June 30**.

Date	Description	Units	Unit Cost	Total Cost
June 27	Purchase	12	$8	$96
June 28	Purchase	38	9	342
June 29	Purchase	20	11	220

Q1. Determine the amounts that do not depend on the costing method.

	A	B	C	D
1. Number of units available for sale	☐ 24	☐ 46	☐ 70	☐ 116
2. Cost of goods available for sale	☐ $438	☐ $562	☐ $658	☐ $754
3. Number of units in ending inventory at June 30	☐ 20	☐ 24	☐ 26	☐ 34

Q2. Under **FIFO**, determine each amount.

	A	B	C	D
1. Ending Inventory	☐ $204	☐ $216	☐ $256	☐ $264
2. Cost of Goods Sold	☐ $368	☐ $402	☐ $414	☐ $454

Q3. Under **LIFO**, determine each amount.

	A	B	C	D
1. Ending Inventory	☐ $192	☐ $204	☐ $256	☐ $264
2. Cost of Goods Sold	☐ $402	☐ $454	☐ $506	☐ $658

Answers, Set 4:
Q1. 1 C 2 C 3 B
Q2. 1 C 2 B
Q3. 1 B 2 B